

Not every Intangible is mentioned in the Balance Sheet. It is often found that such intangibles are more valuable than the reported ones. These have to be identified by us.



EXAMPLE

Company with a powerful brand does not account for the brand value on the Balance Sheet. The financials only include expenses like advertising, brand expenses, products over the years, etc.

The brand is a very important intangible missing from the Balance Sheet. Other similar examples are distribution networks, copyright's value that is shown at cost that is way lower than its actual value.



Apart from financial understanding, some business understanding is required to identify such intangibles for the company. Thus, these are the exercises we need to do with the company intangibles:

- ◇ What percentage of intangibles is divided into Capitalised, Exclusivity, and Normal Assets?
- ◇ How much business do these intangibles generate? How critical are they to company's success?
- ◇ Identify the identifiable and unidentifiable intangibles.
- ◇ Identify intangible assets which are not on the balance sheet.

An important thing with intangibles is that their balance sheet values can be misleading.

EXAMPLE

The balance sheet value of an intangible might be 100 crores, but it might not contribute to the business much. On the other hand, an intangible asset of 1 crore might be more valuable for the business.

With the above questions, we will have a good understanding of Intangible Assets. Depending on the kind of business the company has and the intangibles present, we can pick the companies with strong intangible assets and ask these questions to analyze them.